

ARKK has still underperformed the S&P 500 index since its 2014 inception, 247% to 161%.

Chris Bloomstran, the president and chief investment officer of Semper Augustus Investments Group, has been observing ARKK critically. In early 2023, he tweeted a list of 35 ARKK-related facts investors were overlooking.³⁹⁵ The most devastating: 98% of all ARKK investors were underwater. Nearly all of the buyers of the ARKK ETF got in after its surge, near the 2020 top. This was just before an 81% collapse that bottomed in December 2023.

This is classic performance-chasing behavior. After a huge run of outperformance, the media touts a manager, and buyers pour in late. The inevitable mean-reversion soon follows.

According to Ian Salisbury of *Barron's*:

The average ARK investor has seen results far worse than the fund itself, according to data from fund research Morningstar. In fact, since its 2014 inception, the fund has returned 9.7% on average per year, according to Morningstar. That's far below the triple-digit returns that investors once dreamed of, but more or less in line with long-term stock returns. For [ARKK] investors, it's even more bleak: Their average annual return, calculated by Morningstar is -17%.³⁹⁶

Buy high, sell low, repeat until broke.

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It turns out that you, the home viewer, have a huge advantage over the professionals. We will find out what that is next.

³⁹³ J.P. Morgan Asset Management, "Guide to the Markets," [jpmorgan.com](https://www.jpmorgan.com).

³⁹⁴ I have been highlighting JPM's "Guide to the Markets" on The Big Picture ([Ritholtz.com](https://www.ritholtz.com)) since at least 2012, if not before.

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"35 facts not likely found on ARKK yet unreleased 12/31/2022 factsheet," @ChrisBloomstran, January 21, 2023. Bloomstran also tweeted that Woods appeared on CNBC 23 times, which helped drive ARKK assets to a peak of \$29 billion, while charging